

ORDER NO: W2022-002063

THE RESIDENTIAL TENANCIES BRANCH

BETWEEN

Markus Buchart
Tenant
- and -

Thorwin Properties
Landlord

ORDER
ADDRESS OF RENTAL UNIT:

The Residential Tenancies Branch held a hearing on May 2, 2022.

Participated: Tenant: Yes Landlord: Yes

By authority of Section 154 of The Residential Tenancies Act, the director orders that:

The landlord shall pay the tenant \$565.00 no later than May 30, 2022.

May 11, 2022
Date
D. Dale
Residential Tenancies Officer

If you want to appeal this Order you must apply to the Residential Tenancies Commission, 1650 - 155 Carlton Street, Winnipeg MB R3C 3H8 in person or by mail (telephone: 204-945-2028, toll-free: 1-800-782-8403, fax: 204-945-5453) no later than May 30, 2022. The filing fee is \$50.00, payable in cash, certified cheque or money order to The Minister of Finance when the appeal is filed. You must file a copy of this Order with your Notice of Appeal. An appeal suspends the Branch's Order.

This Order, including the Reasons for Decision, is a matter of public record.



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REASONS FOR DECISION

The Residential Tenancies Act (henceforth "the Act") and tenancy agreements set out responsibilities for landlords and tenants.

Section 55 of the Act says that when someone violates those responsibilities and causes a financial loss to the other party, then he or she must compensate the other party for the loss. Sections 152 and 154 of the Act say that the Residential Tenancies Branch (henceforth "the Branch") has the authority to make decisions and orders in disputes between landlords and tenants.

The tenant filed a claim with the Branch, and a hearing was held on May 2, 2022. The tenant previously submitted a signed Declaration of Service, stating that he served the landlord with the Claim, by handing the document to the landlord's agent, at least five days prior to the hearing. Both the tenant and the landlord participated in the hearing, and both had previously submitted evidence.

Note: With regard to the evidence submitted by both of the parties, the "Reasons for Decision" is not intended to be a comprehensive record of every spoken word, or even every submitted document. Although all of the evidence and submissions were carefully considered, for purposes of expediency, only a few of the more relevant items will be discussed in detail, and where ever possible, the evidence will be summarized.

TENANT'S CLAIM:

Compensation for Moving Costs: \$813.75

Total: \$813.75 plus costs

COMPENSATION FOR MOVING COSTS: The tenant indicated that he is claiming moving costs because the landlord increased the rent with the intent to evict him.

The tenant stated that he moved in to the rental unit during 2007, and that the rent increase during the last renewal was from \$1,424.00 to \$1,974.00. The tenant said that taking the discount in to consideration, that is an increase of 19.4%, and without taking it into consideration, the increase is actually 38.6%. The tenant said that he believes that the 38.6% is the correct number to use.

The tenant indicated that pursuant to section 68(2) of the Act, the landlord is presumed to have increased the rent with the intent of evicting the tenant if the landlord increased the rent and the tenant vacates as a result of the increase, and the landlord does not within two months of the tenant vacating enter into a tenancy agreement in good faith with a new tenant at a rent not less than 90% of the increased rent.

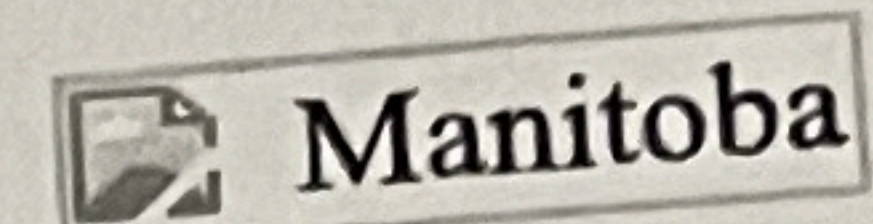
Presumed intent

68(2) A landlord is presumed to contravene subsection (1) or (1.1) if

- (a) the landlord increases the rent or, if applicable, the tenant services charge and the tenant vacates the rental unit as a result of the increase; and
- (b) the landlord does not, within 2 months of the tenant's vacating the rental unit, enter into a tenancy agreement in good faith with a new tenant at a rent, and if applicable, a tenant services charge in an amount greater than 90% of the amount demanded of the former tenant.

The tenant stated that he vacated at the end of September, but because September 30th was a new holiday (Reconciliation day), the keys were returned on October 1st. The tenant said that

the unit was not re-rented until May 1st, the day before the hearing. The tenant indicated that it basically took the landlord an additional half a year to re-rent the unit.



The tenant also indicated that the landlord never really did enter into a tenancy with a new tenant, at least not in good faith. The tenant said that the new tenant is a numbered Manitoba company. He said that the Companies Office shows that the numbered company is not active. He also indicated that the individual shown as the principle person for the numbered company (i.e. he is the only named director, the only named officer, and the only named shareholder) is closely affiliated with the landlord. The tenant submitted various searches and demonstrated the interconnectedness between the landlord and the numbered company/ new tenant.

The tenant said that he originally claimed a total of \$813.75 for the costs to move out of the rental unit. The tenant said that is the amount that he paid for the move. The tenant said that even though he did all the small stuff himself, it still cost him \$813.75 for three men and a truck for five hours. In support of his statement the tenant submitted a receipt for \$813.75. At the hearing, the tenant said that he is now reducing his claim to \$500.00 for moving costs because he recently discovered that is the maximum that the legislation will allow.

The tenant said that he is making his claim for moving costs pursuant to section 68(6)(a) of the Act.

Landlord's liability

68(6) If a landlord contravenes subsection (1), (1.1) or (3), the director may, on application by a tenant, make an order requiring the landlord

- (a) to pay the tenant's reasonable moving expenses, as determined by the director, to new living accommodation, up to a maximum prescribed amount; and
- (b) to compensate the tenant for the tenant's reasonable additional expenses, as determined by the director, which may include the increased rent and, if applicable, the increased tenant services charge that the tenant is or may be obliged to pay because of the termination, for up to 12 months.

At the hearing, the landlord responded that it took a while to re-rent the unit because there was an extensive amount of work that needed to be done to renovate. The landlord said that when they started the renovations they were unaware that there was asbestos so there was a stop order and the work could not be continued right away. The landlord said that there were also structural renovations that had to be done. The landlord said that they were unable to re-rent the unit within the two months after vacating for those reasons.

In support of their position, the landlord submitted various documents, including (but not limited to): a November 30, 2021 "Stop Work Order"; a February 7, 2022 letter from the Province stating that the Stop Work Order has been discontinued because the appropriate action to remedy the situation had been completed; and many invoices.

DECISION FOR MOVING-COSTS: Section 68(2)(b) of the Act is worded very specifically, and it does not mention any exceptions (which it could have included... if it that was actually

the intention). As a result, it has to be interpreted either as having been satisfied, or not having been satisfied. In the present situation the landlord has not satisfied it. Therefore, the landlord is deemed to have intentionally raised the rent, with the intention of evicting the tenant.

Therefore, based on the balance of evidence submitted, and for the previously stated reason, the tenant is awarded a total of \$500.00 for his moving costs.

COSTS: The tenant also claimed the costs to file, serve, prove and enforce the Claim. Subsection 154(1)(b)(5)(b) of the Act gives the Branch the authority to award costs. According to section 3(a) of the Residential Tenancies Costs Regulation, the costs awarded for a Claim are \$65.00. Therefore, the tenant is awarded costs of \$65.00.

 Manitoba

AWARDED TO TENANT:

Compensation for Moving Costs: \$500.00

Costs: \$ 65.00

Total: \$565.00

SUMMARY: The landlord shall pay the tenant \$565.00 no later than May 30, 2022.

May 11, 2022

Date

D. Dale

Residential Tenancies Officer

 Manitoba